Valuation and Subsequent Returns in Vietnam: Does a Low Market P/E Predict Higher One-Year VN-Index Returns?

SIQuant Research[1]

[1]Hypothesis × Quant

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Abstract

Hypothesis: H_0: the VN-Index P/E has no predictive power for the 252-session-ahead VN-Index return; H_1: the slope is negative
Data: 2,033 daily observations, 2017-08-24 to 2025-10-15; P/E range 9.6 to 20.1
Method: OLS with Newey–West HAC errors (252 lags) and a 2,000-draw circular-shift placebo; the decision needs both one-sided $p < 0.05$
Results: $\beta = -0.0541$ (HAC $t = -3.23$, $p = 0.0006$; placebo $p = 0.0005$), $R^2 = 0.231$.
Research decision: ACCEPTED

1 Design

Valuation ratios are a classical predictor of long-horizon returns [Campbell and Shiller, 1988]. The P/E at the close of day t is paired with the log return over the following 252 sessions; the overlap makes the HAC lag equal to the horizon and the circular-shift placebo is the main robustness check.

2 Results

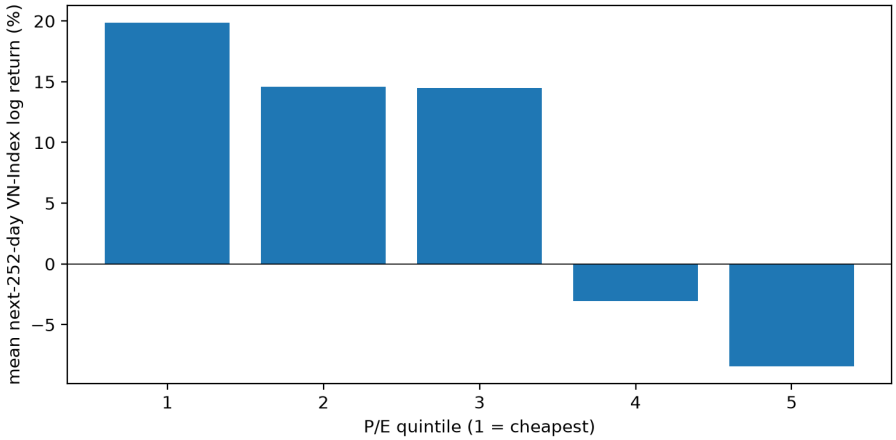


Figure 1: Mean one-year-ahead VN-Index return by P/E quintile.

3 Limitations

The sample holds about eight non-overlapping years, so the effective sample is under ten independent observations; the P/E uses trailing earnings which are reported with a lag and may be revised, a point-in-time earnings series is not free.

References

John Y Campbell and Robert J Shiller. Stock prices, earnings, and expected dividends. *The Journal of Finance*, 43(3):661–676, 1988.